

Lawrence J. Trautman*

June 24, 2026

Chairman Paul S. Atkins
c/o Vanessa A. Countryman, Secretary
U.S. Securities and Exchange Commission
100 F Street, N.E.
Washington, DC 20549

Re: Comments to File S7-2026-15 - Proposed Amendments to Exchange Act Rules
13a-13 and 15d-13 – Optional Semi-annual Reporting In lieu of Quarterly
Reports on Form 10-Q

Dear Chairman Atkins:

My career includes serving as an investment banker, veteran director of several dozen corporations, former president of the New York and Washington, D.C. chapters of the National Association of Corporate Directors, and Professor of Business Law and Ethics at several U.S. Universities. My comments to follow are offered in my personal capacity only and should not be attributed to any university or any other entity with which I am affiliated.

On May 5, 2026, The Securities and Exchange Commission issued proposed “amendments to allow companies to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q to meet their interim reporting obligations under the Securities Exchange Act of 1934 (“Exchange Act”).”¹ In addition, “The Commission is also proposing changes to the financial statement requirements of Regulation S-X to facilitate semiannual reporting and to simplify rules regarding the age of financial statements.”² Rapid technological advances dictate that the pace of business is moving faster, not slower. During 2026 alone, the disruptive imposition of tariffs on supply chains,³ subsequent nullification by the Supreme Court,⁴ war in the mid-East,⁵ outbreak

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¹ See File S7-2026-15 Proposed Amendments to Exchange Act Rules 13a-13 and 15d-13—Optional Semi-annual Reporting in Lieu of Quarterly Reports on Form 10-Q (May 5, 2026), <https://www.sec.gov/files/rules/proposed/2026/33-11414.pdf> (last viewed June 9, 2026).

² *Id.*

³ Eshe Nelson, *The Costs of Brexit? Still Counting.*, N.Y. Times, June 23, 2026 at B1.

of Ebola in central Africa,⁶ and accelerated changes in business dynamics due to the influence of artificial intelligence (AI) and other transformative technologies argue in favor of investors' needing more information, faster, rather than less information provided slowly.

Consisting of 279 published pages, the proposed rule posits thirty-four thoughtful questions for public comment. While some of the issues raised can be characterized as procedural in nature, contained herein are responses to those questions that appear most substantial. In sum, in my view, the pace of rapid technological change appears to require more timely disclosure to investors, not less. Please consider the following:

I. ROLE OF THE SEC AND CURRENT MARKETS

Our laws and regulations face considerable challenges to keep pace with rapid societal changes brought about by novel technological advances.⁷ During recent decades alone, disruptive industries have been responsible for substantial job creation and economic growth.⁸ For example, introduction of the Internet created new problems as well as opportunities.⁹ More recently, the advent of blockchain technology,¹⁰ spawned new investment asset classes such as crypto currencies, along with creative and often novel scams.¹¹ These crypto or virtual currencies provided a novel platform for the

⁴ Ann E. Marimow, *Justices Strike Down Trump's Tariffs*, N.Y. Times, Feb. 20, 2026, https://www.nytimes.com/2025/02/20/us/politics/supreme-court-trump-tariffs.html?eafs_enabled=false (last viewed June 23, 2026).

⁵ Max Bearak, Anupreeta Das, Michael Levenson & Jonathan Swan, *Trump, Pivoting Again, Calls Off New Barrage, Claiming Deal is Near*, N.Y. TIMES, June 12, 2026 at A1.

⁶ Declan Walsh, *Mining Town Can't Escape Grip of Ebola*, N.Y. TIMES, June 6, 2026 at A1.

⁷ Lawrence J. Trautman, *Bitcoin, Virtual Currencies and the Struggle of Law and Regulation to Keep Pace*, 102 MARQ. L. REV. 447 (2018), <https://ssrn.com/abstract=3182867>; Lawrence J. Trautman, *Rapid Technological Change and U.S. Entrepreneurial Risk in International Markets: Focus on Data Security, Information Privacy, Bribery and Corruption*, 49 CAP. U. L. REV. 67 (2021), <https://ssrn.com/abstract=2912072>; Lawrence J. Trautman & Alvin C. Harrell, *Bitcoin Versus Regulated Payment Systems: What Gives?*, 38 CARDOZO L. REV. 1041 (2017), <http://ssrn.com/abstract=2730983>.

⁸ Lawrence J. Trautman, Anthony J. Luppino & Malika S. Simmons, *Some Key Things U.S. Entrepreneurs Need to Know About The Law and Lawyers*, 46 TEX. J. BUS. L. 155 (2016), <http://ssrn.com/abstract=2606808>.

⁹ Lawrence J. Trautman & George P. Michael, Jr., *The SEC & The Internet: Regulating the Web of Deceit*, 68 CONSUMER FIN. L. Q. REP. 262 (2014), <http://www.ssrn.com/abstract=1951148>.

¹⁰ Lawrence J. Trautman, *Is Disruptive Blockchain Technology the Future of Financial Services?*, 69 CONSUMER FIN. L.Q. REP. 232 (2016), <http://ssrn.com/abstract=2786186>; Lawrence J. Trautman & Mason J. Molesky, *A Primer for Blockchain*, 88(2) UMKC L. REV. 239 (2019), arXiv:1904.03254, <https://ssrn.com/abstract=3324660>.

¹¹ Michael J. Conklin, Brian Elzweig & Lawrence J. Trautman, *Legal Recourse for Victims of Blockchain and Cyber Breach Attacks* 23(2) U.C. DAVIS BUS. L.J. 135 (2022-2023), <http://ssrn.com/abstract=4251666>; Lawrence J. Trautman, Brian Elzweig & Neal F. Newman, *The SEC, Fraud, and Crypto Currencies*, 90 MO. L. REV. 425 (2025), <https://ssrn.com/abstract=4965035>; Lawrence J. Trautman & Larry D. Foster II, *The FTX Crypto Debacle: Largest Fraud Since Madoff?*, 54 U. MEMPHIS L. REV. 289 (Winter 2023), <http://ssrn.com/abstract=4290093>.

illegal and covert transfer of funds derived from illicit activities.¹² Blockchain technology also provided the technological foundation for nonfungible tokens (NFTs) which created debate within the SEC about whether these NFTs are securities, as defined, and therefore subject to regulation by the Commission.¹³

Technological Impact and the Need for Capital

During 2026, U.S. entrepreneurs and venture capitalists have been challenged to find adequate capital to support unprecedented growth due to rapid advances brought about by creation of artificial intelligence (AI).¹⁴ This significant appetite for needed investment capital requires effective regulation by the SEC.¹⁵ The announcement on almost a weekly basis of novel, significant, cheaper, artificial intelligence tools solving significant use cases is an argument in favor of providing investors with more information, quickly, rather than less transparency.¹⁶

History of Interim Reporting Requirements

Without duplicating the complex, complete history of SEC reporting requirements, the Commission provides a relevant background to these matters by stating, "... in 1955, it adopted rules requiring semiannual interim reports pursuant to Rules X-13A-13 and X-15D-13.¹⁷ In addition, "These rules required one semiannual report to be filed each fiscal year by Exchange Act reporting companies on a new Form 9-K."¹⁸ Accordingly, "Semiannual reports on Form 9-K, which were due 45 days after the end of the reporting period, did not require the narrative disclosures mandated by

¹² See Lawrence J. Trautman, *Virtual Currencies: Bitcoin & What Now After Liberty Reserve, Silk Road, and Mt. Gox?*, 20 RICH. J. L. & TECH. 13 (2014), <http://www.ssrn.com/abstract=2393537>; Lawrence J. Trautman, *Following the Money: Lessons from the "Panama Papers," Part 1: Tip of the Iceberg*, 121 PENN ST. L. REV. 807 (2017), <http://ssrn.com/abstract=2783503>.

¹³ Brian Elzweig & Lawrence J. Trautman, *When Does A Nonfungible Token (NFT) Become A Security?*, 39 GA. ST. U. L. REV. 295 (2023), <http://ssrn.com/abstract=4055585>; Brian Elzweig, Lawrence J. Trautman & Michael Conklin, *NFT Artists v. The SEC: Reassessing Securities Law in the Age of Digital Art*, 130(3) PENN ST. L. REV. 625 (2026), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5811602; Lawrence J. Trautman, *Virtual Art and Non-fungible Tokens*, 50 HOFSTRA L. REV. 361 (2022), <http://ssrn.com/abstract=3814087>.

¹⁴ Lawrence J. Trautman, W. Gregory Voss & Scott Shackelford, *How We Learned to Stop Worrying and Love AI: Analyzing the Rapid Evolution of Generative Pre-Trained Transformer (GPT) and its Impacts on Law, Business, and Society*, 34(1) ALB. L.J. SCI. & TECH. 203 (2023-24), <http://ssrn.com/abstract=4516154>.

¹⁵ David Nows & Lawrence J. Trautman, *The Growing Role of Venture Studios in Startup Finance*, 76(2) CASE W. RES. L. REV. 525 (2025), <http://ssrn.com/abstract=5124599>; Lawrence J. Trautman, Brian Elzweig & Neal F. Newman, *Capital Formation, The SEC, and Accredited Investors*, 27 U. PA. J. BUS. L. 130 (2024), <https://ssrn.com/abstract=4771089>.

¹⁶ Angel Au-Yeung, *Cheaper Alternatives to AI Giants Are Focus of \$13 Billion Startup Baseten*, WALL ST. J., June 20-21, 2026 at B9.

¹⁷ Proposed Rule at 9, *citing Adoption of Form 9-K and Rules X-13A-13 and X-15D-13*, Release No. 33-3553 (June 23, 1955) [20 FR 4816 (July 7, 1955)].

¹⁸ Proposed Rule at 9 (internal citations omitted).

Form 10-Q and provided only limited disclosures typically associated with an income statement.”¹⁹

According to the Proposed Rule, the 1969 Wheat Report observed “that a regular, quarterly report would be more useful than the present, irregular 8-K report.”²⁰ In response:

After 15 years of this semiannual reporting system, the Commission rescinded semiannual reports on Form 9-K in 1970 and instead required quarterly reporting pursuant to amended Rules 13a-13 and 15d-13.14 The rules required Exchange Act reporting companies to file three quarterly reports on Form 10-Q each fiscal year. When it proposed the quarterly report on Form 10-Q, the Commission explained that the new report would “provide detailed information as a back-up to information released pursuant to timely disclosure policies” and would provide “uniform standards” for all Exchange Act reporting companies...

Form 10-Q today requires more detailed information than the rescinded semiannual report on Form 9-K. Form 10-Q requires financial statements (inclusive of footnote disclosures) for the covered quarterly period that are prepared in accordance with United States (“U.S.”) generally accepted accounting principles (“U.S. GAAP”),²¹ have been reviewed by an independent public accountant (but are not required to be audited),²² and are data tagged using inline XBRL.²³

It also requires narrative disclosures regarding:

- Management’s discussion and analysis of financial condition and results of operations (“MD&A”);²⁴
- Market risk;²⁵
- Effectiveness of disclosure controls and procedures and material changes in internal control over financial reporting;²⁶
- Legal proceedings;²⁷
- Material changes in risk factors;²⁸

¹⁹ *Id.* at 9 (internal citations omitted).

²⁰ Proposed Rule at 10, citing *Disclosure to Investors—A Reappraisal of Federal Administrative Policies Under the ’33 and ’34 Acts (The Wheat Report)* 332 (1969). (“The Wheat Report was a product of a review of the periodic reporting system from 1967 to 1969 conducted by Commissioner Francis Wheat and staff members of the Commission.”).

²¹ Proposed Rule at 10.

²² Proposed Rule at 10, citing *See* Form 10-Q, Part I, Item 1; 17 CFR 210.10-01 (Regulation S-X Rule 10-01); 17 CFR 210.8-03 (Regulation S-X Rule 8-03); Form 10-Q, Part II, Item 6; 17 CFR 229.601(b)(101)(i)(A).

²³ Proposed Rule at 11, citing Form 10-Q, Part I, Item 2; 17 CFR 229.303 (17 CFR Part 229 (“Regulation S-K”) Item 303).

²⁴ Proposed Rule at 11, citing Form 10-Q, Part I, Item 3; 17 CFR 229.305 (Regulation S-K Item 305).

²⁵ Proposed Rule at 11, citing Form 10-Q, Part I, Item 4; 17 CFR 229.307 (Regulation S-K Item 307); 17 CFR 229.308(c) (Regulation SK Item 308(c)).

²⁶ Proposed Rule at 11, citing Form 10-Q, Part II, Item 1; 17 CFR 229.103 (Regulation S-K Item 103).

- Unregistered equity security sales and use of proceeds;²⁸
- Defaults on senior securities;²⁹
- Material changes to the procedures by which security holders may recommend nominees to the registrant's board of directors;³⁰
- Disclosure of director or officer adoptions or terminations of certain plans for the purchase or sale of registrant securities;³¹
- Exhibits required under Item 601 of Regulation S-K;³² and
- Certifications by the principal executive and financial officers as exhibits.³³

Form 10-Q reports are filed electronically with the Commission through its EDGAR system. The deadline for filing Form 10-Q with the Commission is 40 or 45 days after the end of a fiscal quarter, depending on the filer status of the reporting company.³⁴

Finally, securities exchange listing standards generally do not mandate a particular frequency of interim reporting. Instead, they refer generally to compliance with Commission rules requiring interim reports (with at least one exchange making specific reference to quarterly reports on Form 10-Q), 34 require availability of interim reports, or require quick dissemination of quarterly earnings information to the market.³⁵

The SEC Under Chairman Atkins

The year 2025 brought a dramatic change to the SEC and its regulatory philosophy. Under new Chair Paul S. Atkins, a decided shift incorporating a philosophy

²⁷ Proposed Rule at 11, *citing* Form 10-Q, Part II, Item 1A; 17 CFR 229.105 (Regulation S-K Item 105).

²⁸ Proposed Rule at 11, *citing* Form 10-Q, Part II, Item 2; 17 CFR 229.701 (Regulation S-K Item 701).

²⁹ Proposed Rule at 12, *citing* Form 10-Q, Part II, Item 3.

³⁰ Proposed Rule at 12, *citing* Form 10-Q, Part II, Item 5(b); 17 CFR 229.407(c)(3) (Regulation S-K Item 407(c)(3)).

³¹ Proposed Rule at 12, *citing* Form 10-Q, Part II, Item 5(c); 17 CFR 229.408(a) (Regulation S-K Item 408(a)).

³² Proposed Rule at 12, *citing* Form 10-Q, Part II, Item 6; 17 CFR 229.601 (Regulation S-K Item 601).

³³ Proposed Rule at 12, *citing* Sarbanes-Oxley Act of 2002, Pub. L. No. 107-204, § 302, 116 Stat. 745, 777 (2002); 17 CFR 240.13a-14; 17 CFR 240.15d-14; 17 CFR 229.601(b)(31) (Regulation S-K Item 601(b)(31)) (exhibits regarding certifications that include those related to internal controls, untrue statements of material facts, and material omissions); Sarbanes-Oxley Act of 2002, Pub. L. No. 107-204, § 906, 116 Stat. 745, 806 (2002), 17 CFR 229.601(b)(32) (Regulation S-K Item 601(b)(32)) (exhibits regarding certifications related to financial condition and results of operations).

³⁴ Proposed Rule at 12, *citing* Large accelerated filers and accelerated filers, as defined in 17 CFR 240.12b-2 ("Exchange Act Rule 12b-2"), must file Form 10-Q within 40 days after the end of a fiscal quarter and all other Exchange Act reporting companies must file Form 10-Q within 45 days after the end of a fiscal quarter. See Form 10-Q, General Instruction A.

³⁵ Proposed Rule at 9 (internal citations omitted).

of imposing less regulatory disclosure burden upon issuers is introduced.³⁶ In his published statement regarding this proposed rule he states that “This proposal is part of my Make IPOs Great Again agenda that is aimed at incentivizing companies to go and stay public.”³⁷ Chairman Atkins contends, “the rigidity of the SEC’s rules has prevented companies and their investors from determining for themselves the interim reporting frequency that best serves their business needs and investors. Today’s proposed amendments, if ultimately adopted, would provide companies with increased regulatory flexibility in this regard.”³⁸ Consider:

In determining a company’s reporting cadence, a company might consider factors such as the costs and management time of preparing quarterly reports versus semiannual reports, expectations of its investors, potential effects on its cost of capital, the stage of its business development, the nature of its business model, other avenues of disclosure including earnings calls and current reports on Form 8-K, and prospects of increased research coverage, all without undermining fundamental investor protections. Ultimately, this flexibility might reduce some of the burdens of being a public company and potentially influence a company’s decision to become or remain public. The proposal seeks public input on the optional semiannual reporting framework, and I look forward to the public feedback.³⁹

Chairman Atkins continues “Today’s proposal is just the first step of the larger, comprehensive effort to review and reshape the current SEC rules governing public companies with respect to their ongoing reporting obligations and their ability to raise capital in the public markets.”⁴⁰ Then, “Over the next few months, I expect that the Commission will be considering a series of proposals that, if adopted, will not only redefine what it means to be a public company, but will make being public attractive again.”⁴¹

Investor’s Need for Current and Accurate Information

The availability and value of open-source investor intelligence through mandated corporate disclosures is well documented.⁴² As this evolutionary change in technological

³⁶ See generally Lawrence J. Trautman, *Crypto Regulation in the Time of Trump*, 32 MICH. TECH. L. REV. 75 (2025), <http://ssrn.com/abstract=5329916>.

³⁷ Statement on Proposing Release for Semiannual Reporting, Paul S. Atkins, Chairman, SEC (May 5, 2026), <https://www.sec.gov/newsroom/speeches-statements/atkins-statement-proposing-release-semiannual-reporting-050526> (last viewed June 23, 2026).

³⁸ *Id.*

³⁹ *Id.*

⁴⁰ *Id.*

⁴¹ *Id.*

⁴² Lawrence J. Trautman, Brian Elzweig & Neal F. Newman, *Guide to SEC and Business Open Source Corporate Intelligence*, 25 U.C. DAVIS BUS. L.J. 54 (2025), <https://papers.ssrn.com/abstract=5002093>.

advances produces the need for access to securities markets, the requirement for up-to-the-minute information is greater, rather than less. On June 12, 2026, Space Exploration Technology (SpaceX) successfully conducts the largest U.S. initial public offering to date.⁴³ Also during 2026, fast moving technological developments resulted in numerous regulatory filings with the SEC for such crypto-related issuers as: Circle Internet Group, Inc.,⁴⁴ Coinbase Global,⁴⁵ and Gemini.Com.⁴⁶ Registration statements are filed for artificial intelligence (AI)-giants Anthropic⁴⁷ and OpenAI.⁴⁸ Mid-2026 also finds that quantum computing company Quantinuum, Inc. files a registration statement in anticipation of public ownership.⁴⁹ As the rate-of-change for these technologies continues at a frantic pace, logic dictates that investors will benefit from more, rather than less disclosure.

II. SEMIANNUAL REPORTING PROPOSED RULE

On May 5, 2026, The Securities and Exchange Commission proposed “amendments to allow companies to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q to meet their interim reporting obligations under the Securities Exchange Act of 1934 (“Exchange Act”).”⁵⁰ In addition, “The Commission is also proposing changes to the financial statement requirements of Regulation S-X to facilitate semiannual reporting and to simplify rules regarding the age of financial statements.”⁵¹

Stated Purpose of Proposed Amendments

In its published announcement regarding the proposed Rule, The Commission provides the following explanation for the proposed amendments:

We are proposing amendments to provide all companies subject to reporting obligations under Exchange Act Section 13(a) or 15(d)

⁴³ Corrie Driebusch, Becky Peterson & Micah Maidenber, *SpaceX Soars in Record Debut*, WALL ST. J., June 13-14, 2026 at A1; Ryan Mac & Lauren Hirsch, *SpaceX’s I.P.O. Makes Musk The First Trillionaire on Earth*, N.Y. TIMES, June 13, 2026 at A1.

⁴⁴ Lawrence J. Trautman, What We Can Learn from the Circle Internet Group, Inc. Registration Statement, 22 J. BUS. & TECH. L. (forthcoming), <http://ssrn.com/abstract=6150328>.

⁴⁵ Lawrence J. Trautman, Risk Disclosure Through The Lens of Coinbase Global, Inc. 17 UC L. BUS. J. (forthcoming), <http://ssrn.com/abstract=5368381>.

⁴⁶ Lawrence J. Trautman, *Lessons Learned from the Gemini.Com IPO*, 17(2) UC L. SCI. & TECH. L.J. 213 (2026), <http://ssrn.com/abstract=5727443>.

⁴⁷ Press Release, Anthropic Confidentially Submits Draft S-1 to the SEC (June 1, 2026), <https://www.anthropic.com/news/confidential-draft-s1-sec> (last viewed June 10, 2026).

⁴⁸ Cade Metz, *OpenAI Files To Go Public In A.I. Wave*, N.Y. TIMES, June 10, 2026 at B1.

⁴⁹ Lawrence J. Trautman, Quantum Computing: Lessons From the Quantinuum Inc. Registration Statement, <http://ssrn.com/abstract=6875918>.

⁵⁰ See File S7-2026-15 Proposed Amendments to Exchange Act Rules 13a-13 and 15d-13—Optional Semi-annual Reporting in Lieu of Quarterly Reports on Form 10-Q (May 5, 2026), <https://www.sec.gov/files/rules/proposed/2026/33-11414.pdf> (last viewed June 9, 2026).

⁵¹ *Id.*

(“Exchange Act reporting companies”) that file quarterly reports the option of filing interim reports on a semiannual basis. Currently, Exchange Act reporting companies must file quarterly reports on Form 10-Q pursuant to 17 CFR 240.13a13 (“Exchange Act Rule 13a-13”) or 17 CFR 240.15d-13 (“Exchange Act Rule 15d-13”), with certain exceptions. Pursuant to these rules, Exchange Act reporting companies file with the Commission three quarterly reports on Form 10-Q each fiscal year, with the fourth fiscal quarter subsumed within the reporting company’s annual report on Form 10-K. The proposed amendments to Exchange Act Rules 13a-13 and 15d-13, if adopted, would allow Exchange Act reporting companies electing to do so to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q. Our proposal would provide an Exchange Act reporting company with the flexibility to determine the frequency of interim reporting that best suits its particular circumstances, such as its ability to bear the costs of preparing the quarterly reports, the stage of its business development, and the expectations of its investors, without undermining fundamental investor protections. Providing such regulatory flexibility could reduce the regulatory burden of being a reporting company, which could potentially influence a company’s decision to become or remain a reporting company and encourage more companies to go or remain public. These proposed amendments would not substantively affect investment companies except for business development companies and face-amount certificate companies.

We are also proposing amendments to the financial statement requirements of 17 CFR Part 210 (“Regulation S-X”)—including to 17 CFR 210.3-01 (“Rule 3-01”), 17 CFR 210.3-12 (“Rule 3-12”), and 17 CFR 210.8-08 (“Rule 8-08”)—to facilitate semiannual reporting and to simplify rules regarding the age of financial statements in registration statements and other Commission filings.⁵²

Theory in Support of Reduced Reporting Requirements

The Commission provides the following language to describe its quest motivating this proposed rule seeking to determine the ideal reporting frequency requirements for every Exchange Act reporting company. The Commission seeks to address the varied circumstances facing each company in its attempt to fine tune its requirements.⁵³ Accordingly, the Commission states, “We are proposing rule and form amendments to provide all Exchange Act reporting companies with the option of filing semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q.”⁵⁴ In addition:

The flexibility provided under our proposed amendments would enable all Exchange Act reporting companies to choose the reporting frequency that

⁵² Proposed Rule at 7 (internal citations omitted).

⁵³ Proposed Rule at 16.

⁵⁴ Proposed Rule at 16.

would best serve the company and its investors. Companies that elect semiannual interim reporting may see a reduction in compliance costs of time and money, as they would incur these interim reporting costs only one time in connection with each fiscal year instead of three times in connection with each fiscal year pursuant to quarterly reporting. These companies could then choose to dedicate any compliance cost and resource savings to their business growth. Other potential benefits of semiannual reporting include: less distraction from running the day-to-day business; reallocation of attention from interim reporting to company strategy; additional time spent on new product development; and ability to engage in transactions that might not be possible when management is focused on preparing interim reports. To the extent that companies could not previously do so due to quarterly reporting, companies electing semiannual reporting may employ business strategies that may help ensure these companies' long-term viability. In particular, emerging growth companies and smaller reporting companies may value having the flexibility to select the interim reporting requirement that is most appropriate for them and their investors. Additionally, reducing the compliance costs associated with quarterly reporting may contribute to more private companies deciding to enter the public markets and more companies deciding to remain public. Further, the flexibility provided in the proposal may appeal to companies in certain industries where investors may focus more on certain business, product, or regulatory developments than interim financial results.

Under the proposal, companies would have the option to elect on an annual basis to comply with the semiannual reporting requirements. Exchange Act reporting companies could continue to file quarterly reports on Form 10-Q under the proposal. Companies might continue to report quarterly, for example, where they determine that quarterly frequency is best for the company and its investors or due to factors such as expectations of investors and securities analysts, disclosure practices in a particular industry, contractual obligations, or other regulatory requirements. It is also possible some companies may view semiannual reporting as increasing the length of time that the company's directors or employees possess non-public information that may be subject to the company's closed trading windows and see quarterly reporting as a better approach for the company, because it may provide more frequent open trading windows for the company's directors and employees...⁵⁵

⁵⁵ Proposed Rule at 16 (internal citations omitted).

Certain Material Events and Form 8-K

What about the requirement to provide investors with timely disclosure of all material events that may have an impact on their investment decisions? The Commission provides the following statement:

Although one result of the proposal will be a reduction in the frequency of interim reports for some Exchange Act reporting companies, we expect certain material information about these companies between interim semiannual reports and annual reports will continue to be disclosed either voluntarily or as a result of other requirements. Significant regulatory enhancements have occurred since 1970 with regard to disclosure of certain material events during interim periods. Investors currently have access to information through the current reporting system on Form 8-K regarding certain material events that is far more robust and timely than in 1970 when semiannual reports on Form 9-K were last required. Since that time, the Commission significantly accelerated that era's Form 8-K filing deadline of 10 days after the end of the month in which the applicable event occurred to the current general deadline of within four business days of the event. In addition to shortening the filing deadlines, the Commission over time significantly expanded the list of events that would trigger a filing obligation under Form 8-K and prescribed standardized disclosures that must be provided upon the occurrence of the material event, including through amendments in 2003 and 2004. In fact, several of the Form 10-Q disclosure requirements largely duplicate the Form 8-K requirements. Importantly, in 2003, the Commission added Item 2.02 as a Form 8-K filing trigger event for the furnishing of earnings releases and other material information about companies' results of operations and financial condition for a completed interim period. Current Item 2.02 requires reporting companies generally to furnish their quarterly earnings releases as an exhibit to Form 8-K on the Commission's EDGAR system. Many Exchange Act reporting companies hold a conference call in connection with their earnings releases. Item 2.02 provides the conference call does not need to be furnished with Form 8-K subject to certain conditions, including that the call occur within 48 hours of the earnings release, the call be accessible to the public, and the call and dialin information be announced in advance to the public. In practice, many public companies make recordings of the call freely available on their website. Recordings of the calls are also commonly freely available on third-party platforms. We believe that the requirements of Form 8-K elicit important disclosures about material events on a more timely basis than quarterly reports on Form 10-Q. We acknowledge, however, that quarterly earnings releases furnished with an Item 2.02 Form 8-K differ from Form 10-Q financial information because they are not required to be reviewed by an independent public accountant or to comply with the Commission's

interim financial statement requirements or certain other requirements in Form 10-Q. We also acknowledge that, if a company elects to take advantage of semiannual reporting and stops reporting quarterly earnings or having quarterly earnings release conference calls, then the disclosures elicited by Item 2.02 of Form 8-K would not be available. We expect that a company's individual characteristics, facts, and circumstances will determine whether it would make quarterly earnings releases or announcements after electing to report semiannually.⁵⁶

Impact of Regulation FD

The Commission discusses the proposed change in regulations and its likely impact on Regulation FD as follows:

Regulation FD, adopted in 2000, was another significant development in the evolution of disclosure requirements for Exchange Act reporting companies. Regulation FD requires that any material non-public information selectively shared with certain enumerated persons be promptly (in the case of unintentional disclosure) or simultaneously (in the case of intentional disclosure) disclosed to the market by either furnishing or filing a Form 8-K report or disseminating the information through another method that is reasonably designed to provide broad, nonexclusionary distribution. In connection with Regulation FD, Exchange Act reporting companies may disclose material information during a fiscal year through Item 7.01 of Form 8-K. 64 Regulation FD seeks to promote full and fair disclosure and may cause a company to disclose material information—whether on Form 8-K or through other means—at various points during a fiscal year, depending on the company and its circumstances (such as whether the company seeks to communicate previously material non-public information to analysts or other persons covered by Regulation FD). Such disclosure results in greater investor access to material information disclosed outside quarterly reports on Form 10-Q. Regulation FD and current Form 8-K disclosure requirements were either not present or less robust when the Commission last required the limited form of semiannual reporting during the period from 1955 to 1970.⁵⁷

Impact on Accounting and Auditing Standards

Of particular interest to the accounting and auditing profession—students of accounting, and the audit committee members of Exchange Act reporting companies is the Commission's following language:

⁵⁶ Proposed Rule at 18 (internal citations omitted).

⁵⁷ Proposed Rule at 21 (internal citations omitted).

Finally, we recognize that, if the proposal is adopted, in order to comport with semiannual reporting by public companies, it is possible that changes may be necessary or appropriate to the rules of securities exchanges or to various accounting or auditing standards. If the proposal is adopted, to facilitate any such changes, we expect the Commission staff would coordinate with accounting and auditing standard-setters, securities exchanges, and other market participants. To help inform those efforts, we are soliciting comment in this release on what changes to accounting or auditing standards or rules of securities exchanges should be made to comport with semiannual reporting.⁵⁸

The Unanswered Questions

The Commission deserves credit for the comprehensive questions posed for public comment. Some of the thirty-four (34) questions contained in the Commission's proposed rule appear procedural in nature and therefore of less importance to this discussion. For purposes of this comment letter, the questions presented by the SEC are not included in their entirety, but easily available for review. Several of these questions, involving the primary issue of less timely versus more timely provision of disclosure are reproduced below:

1. The proposed amendments would allow Exchange Act reporting companies to elect to file interim reports on a semiannual basis in lieu of quarterly reports on Form 10-Q. Should companies have this option, or should all companies continue to be required to file Form 10-Q? What types of companies are likely to elect the option to file semiannual reports? Are companies in certain industries more likely than those in other industries to elect to file semiannual reports?
2. We are proposing amendments that would permit, but not require, all Exchange Act reporting companies that file Form 10-Q today to file semiannual reports. Should we instead require all companies to file semiannual reports? What would be the benefits and costs of such a mandatory approach? Would mandatory semiannual reporting, with the option to file quarterly reports, lead to more companies electing to forgo quarterly reporting?
3. Our proposal would permit semiannual reports for all Exchange Act reporting companies that file Form 10-Q today, regardless of filer status, revenues, market capitalization, or other criteria. Should the option for semiannual reporting be available only for Exchange Act reporting companies that satisfy certain criteria? If so, what criteria should be imposed and why? For example, should only emerging growth companies or smaller reporting companies be allowed to report semiannually? Should

⁵⁸ Proposed Rule at 24 (internal citations omitted).

only companies below alternative quantitative or monetary thresholds be allowed to report semiannually? Should the Commission consider a pilot program to permit optional semiannual reporting for a subset of reporting companies and, if so, what would be the benefits of such a pilot program? What types of companies should be included in the pilot program?

4. Under the proposal, reporting companies currently required to file Form 10-Q would have the option instead to file semiannual reports on Form 10-S. Should any types of companies that currently file Form 10-Q be excluded from the option of electing semiannual reporting, such as business development companies?...

6. If adopted, would semiannual reporting have an impact on investors' ability to compare same-company performance over time? Why or why not?

7. What effect would our proposal have on investors' ability to compare the relative peer company financial performance of a quarterly filer to a semiannual filer?...

22. Would the option for semiannual reporting result in an overall reduction in material information for investors?...

23. With semiannual reporting, would there be an impact on investors or other market participants as a result of less frequent certifications by management relating to internal control over financial reporting and disclosure controls and procedures, as well as less frequent disclosures of changes in such controls?

24. Would the nature and extent of procedures that an independent public accountant performs during a review change depending upon whether the independent public accountant is performing a review over a fiscal semiannual period or a fiscal quarterly period? Would independent public accountants conducting reviews do the same amount of work for a fiscal semiannual period as they currently do for two quarterly fiscal periods on a combined basis? Would an independent public accountant experience any impact on efficiency or economies of scale when conducting reviews and annual audits under semiannual reporting versus under quarterly reporting for the same company? Would any changes to independent public accountants' review or audit procedures or any impact on efficiency or economies of scale result in changes in costs to companies? If so, describe the impact and whether the impact could vary depending upon the size of the registrant subject to the review.

25. Would companies that elect semiannual reporting retain their independent public accountant to perform a review of their financial statements at the end of each quarter either to: (1) support financial information that is used for purposes of a quarterly earnings release (notwithstanding that, as noted above, there is no Commission requirement for a quarterly earnings release to be reviewed by an independent public accountant), or (2) guard against the possible need for a quarterly review to be performed should the company decide to change

back to quarterly reporting in a future period (where that period would require comparative quarterly data for the prior year)?

26. For semiannual filers, what impact would a shift to semiannual reporting have on: (1) companies' disclosure controls and procedures, (2) companies' internal control over financial reporting, and (3) independent public accountants' strategy and approach for the annual audit of companies' internal control over financial reporting or financial statements? With semiannual reporting, is there a potential for a material increase in the risk that material misstatements (either due to error or fraud) or control deficiencies are not timely detected by or communicated to the independent public accountant thereby limiting potential remediation of these issues by the issuer? Please provide any data related to these questions.

27. Would there be reduced securities analyst coverage of Exchange Act reporting companies that elect the semiannual reporting option as compared to quarterly filers? Would underwriters' requests for independent public accountants to provide "comfort letters" in securities offerings (to support potential due diligence defenses) lead semiannual filers to continue to retain independent public accountants to conduct quarterly financial statement reviews? If so, are changes needed to PCAOB Auditing Standards (regarding reviews by independent public accountants)? For example, to comport with semiannual reporting, are changes needed to PCAOB Auditing Standard 6101, Letters for Underwriters and Certain Other Requesting Parties, to permit independent public accountants to provide comfort letters expressing negative assurance on changes subsequent to the date and period of the latest financial statements included (or incorporated by reference) in the registration statement? If semiannual filers would continue to prepare quarterly financial information or to retain independent public accountants to conduct quarterly reviews, should the Commission make any rule changes or take any other steps to address this issue?

28. Would our proposal have any impact on a semiannual filer's application of relevant accounting standards to prepare financial statements in accordance with U.S. GAAP, IFRS, or home-country GAAP? How? Are any changes to accounting standards, including U.S. GAAP or IFRS, necessary or appropriate to effectuate semiannual reporting (e.g., changes to the guidance on annual impairment testing, lag reporting, earnings per share, or other topics of authoritative guidance)?⁵⁹

For consideration now are certain arguments made by Professor Stephen M. Bainbridge in support of the Commission's proposed rule changes. My arguments in favor of more disclosure by issuers, rather than less, will follow.

⁵⁹ Proposed Rule at 32 (internal citations omitted).

III. IN SUPPORT OF THE PROPOSED RULE CHANGES

UCLA Law Professor Stephen M. Bainbridge has provided considerable expertise regarding securities law matters during his distinguished career. Writing in his individual capacity, Professor Bainbridge provided comments to the SEC regarding this proposed rule change.⁶⁰ Reflecting upon several decades of his scholarship in corporate governance, securities regulation, and the mandatory disclosure system, Professor Bainbridge's thoughts also benefit from his recently published extensive analysis of the quarterly reporting debate.⁶¹ For many years my scholarship has benefited from his insightful observations and analysis. In sum, Professor Bainbridge provides the following conclusion in support of the Commission's proposed amendments as follows:

For the foregoing reasons, I support the Commission's proposed amendments permitting companies to elect semi-annual reporting in lieu of quarterly reports on Form 10-Q. The theoretical foundation for mandatory quarterly reporting is weaker than is commonly assumed. The empirical evidence that quarterly reporting prevents managerial short-termism is not compelling. Market forces are likely to produce adequate disclosure in a voluntary system.

Mandatory quarterly reporting imposes a uniform disclosure cadence on firms with different business cycles, investor bases, and information needs. That cadence may increase compliance costs, amplify short-term market pressure, encourage earnings management, and focus investors on noisy three-month results. A semiannual reporting requirement, paired with an option to continue quarterly reporting, would preserve a mandatory public disclosure floor while allowing firms and investors to determine whether quarterly reporting is valuable in particular cases. Firms that benefit from quarterly transparency could continue it. Firms for which quarterly reporting is costly, repetitive, or misleading could shift to a less burdensome semiannual model, subject to market discipline and continuing event-based disclosure obligations.

Chairman Atkins has correctly noted that the SEC has drifted away from its core mission of ensuring that issuers disclose material information. In recent years, the SEC has expanded or proposed expanding the scope of information required to include such matters as ESG factors

⁶⁰ Proposed Rule "Semiannual Reporting" File No. S7-2026-15, Proposed Amendments to Exchange Act Rules 13a-13 and 15d-13—Optional Semi-annual Reporting in Lieu of Quarterly Reports on Form 10-Q (May 5, 2026) (Comment by Stephen M. Bainbridge, Professor of Law, https://www.sec.gov/comments/S7-2026-15/s7202615-771207-2361214_0.pdf (last viewed June 9, 2026).

⁶¹ See Stephen M. Bainbridge, *Should We Eliminate Quarterly Earnings Reports (Or, At Least, Make Them Optional)? Part 1*, BainbridgeOnCorporations.com (Sept. 16, 2025); Stephen M. Bainbridge, *Should We Eliminate Quarterly Earnings Reports (Or, At Least, Make Them Optional)? Part 2*, BainbridgeOnCorporations.com (Sept. 17, 2025); Stephen M. Bainbridge, *Should We Eliminate Quarterly Earnings Reports (Or, At Least, Make Them Optional)? Part 3*, BainbridgeOnCorporations.com (Sept. 18, 2025).

(such as GHG emissions) that are of doubtful materiality to the typical investor. Observing what information firms supply in the interval between the semi-annual reports via Form 8-K filings and so on should help the SEC assess what information investors truly need. (I note in passing that the continually growing bulk of proxy statements is a related problem the SEC should evaluate.)

Lastly, the optional system will also generate valuable empirical evidence about the merits of mandatory disclosure that the Commission could use to evaluate the periodic reporting regime more broadly. The Commission should avail itself of this opportunity to evaluate not just the optimal cadence of periodic disclosure, but also the content of the required disclosures. The current one-size-fits-all disclosure template has the advantage of promoting cross-firm and cross-time comparability. Yet, it seems likely that the burden of preparing periodic disclosure reports and the related compliance obligations falls more heavily on emerging growth companies, newly public companies, and micro- and nano-cap non-accelerated filers. Observing how those companies respond to the change may give the Commission new insight into whether those firms would benefit from further regulatory relief.⁶²

I will now respectfully disagree with Professor Bainbridge and present my arguments in favor of an SEC regime requiring more frequent disclosure, not less.

IV. THE CASE FOR MORE CORPORATE DISCLOSURE, NOT LESS

Investors' Need for Current and Accurate Information

Rapid technological advances dictate that the pace of business is moving faster, not slower. During 2026 alone, the disruptive imposition of tariffs,⁶³ war in the mid-East,⁶⁴ outbreak of Ebola in central Africa,⁶⁵ and accelerated changes in business dynamics due to the influence of artificial intelligence (AI) and other transformative technologies argue in favor of investors' needing more information, faster, rather than less information provided slowly.

⁶² Proposed Rule "Semiannual Reporting" File No. S7-2026-15, Proposed Amendments to Exchange Act Rules 13a-13 and 15d-13—Optional Semi-annual Reporting in Lieu of Quarterly Reports on Form 10-Q (May 5, 2026) (Comment by Stephen M. Bainbridge, Professor of Law, https://www.sec.gov/comments/S7-2026-15/s7202615-771207-2361214_0.pdf (last viewed June 9, 2026).

⁶³ Eu-US tariffs: tensions, trade deal and what could change, European Parliament (June 19, 2026), <https://www.europarl.europa.eu/topics/en/article/20250210STO26801/eu-us-tariffs-tensions-trade-deal-and-what-could-change> (last viewed June 23, 2026).

⁶⁴ Max Bearak, Anupreeta Das, Michael Levenson & Jonathan Swan, *Trump, Pivoting Again, Calls Off New Barrage, Claiming Deal is Near*, N.Y. TIMES, June 12, 2026 at A1.

⁶⁵ Ebola Outbreak: Current Situation, CDC (June 23, 2026), <https://www.cdc.gov/ebola/situation-summary/index.html> (last viewed June 23, 2026).

Impact on the Accounting and Auditing Functions

The Commission's question number 24 states in relevant part, "Would the nature and extent of procedures that an independent public accountant performs during a review change depending upon whether the independent public accountant is performing a review over a fiscal semiannual period or a fiscal quarterly period?"⁶⁶ At question number 25, the Commission solicits public comment as follows:

Would companies that elect semiannual reporting retain their independent public accountant to perform a review of their financial statements at the end of each quarter either to: (1) support financial information that is used for purposes of a quarterly earnings release (notwithstanding that, as noted above, there is no Commission requirement for a quarterly earnings release to be reviewed by an independent public accountant), or (2) guard against the possible need for a quarterly review to be performed should the company decide to change back to quarterly reporting in a future period (where that period would require comparative quarterly data for the prior year)?⁶⁷

My suggestion is that the Commission consult with thought leaders from both the accounting profession and industry finance executives regarding these relevant questions. It seems logical to defer to those currently on the front lines for advice.

Needs of Securities Analysts and Capital Formation Process

As a former major bracket investment banker based in New York City, regulatory sensitivity regarding what is needed to streamline the securities issuance process may mean the difference between achieving successful financing at a critical moment in time and enterprise failure resulting in loss to investors and employee job loss. Question number twenty-seven solicits public comments to these questions:

Would there be reduced securities analyst coverage of Exchange Act reporting companies that elect the semiannual reporting option as compared to quarterly filers? Would underwriters' requests for independent public accountants to provide "comfort letters" in securities offerings (to support potential due diligence defenses) lead semiannual filers to continue to retain independent public accountants to conduct quarterly financial statement reviews? If so, are changes needed to PCAOB Auditing Standards (regarding reviews by independent public accountants)? For example, to comport with semiannual reporting, are changes needed to PCAOB Auditing Standard 6101, Letters for Underwriters and Certain Other Requesting Parties, to permit independent

⁶⁶ Proposed Rule, Question 24 at 39.

⁶⁷ Proposed Rule, Question 25 at 40.

public accountants to provide comfort letters expressing negative assurance on changes subsequent to the date and period of the latest financial statements included (or incorporated by reference) in the registration statement? If semiannual filers would continue to prepare quarterly financial information or to retain independent public accountants to conduct quarterly reviews, should the Commission make any rule changes or take any other steps to address this issue?⁶⁸

Corporate Governance Enhanced by More Information, Not Less

Comments here are influenced by my having served on more than thirty corporate boards during my career. Experience dictates that the availability of more information, faster, facilitates better board decision making. As observed previously, “Corporations are created by state-granted charters, their governance dictated by state law, with corporate directors responsible for managing the affairs of the corporation.”⁶⁹ In addition, “Delaware courts have stated the business judgment rule is a “presumption that in making a business decision the directors of a corporation acted on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the company.”⁷⁰ In sum, “Under Delaware law, directors owe their corporation and shareholders fiduciary duties of care and loyalty.”⁷¹

A direct result of rapid advances in technology, decisions made in U.S. corporate boardrooms about cybersecurity impacts national security and deserves timely disclosure to investors.⁷²

⁶⁸ Proposed Rule, Question 25 at 40.

⁶⁹ Lawrence J. Trautman, *The Matrix: The Board's Responsibility for Director Selection and Recruitment*, 11 FLA. ST. U. BUS. REV. 75 (2012), <http://www.ssrn.com/abstract=1998489>, citing DEL. CODE. ANN. tit. 8, § 141(a) (1991) (“The business and affairs of every corporation organized under this chapter shall be managed by or under the direction of a board of directors, except as may be otherwise provided in this chapter or in its certificate of incorporation.”). While more than half of all publicly-owned United States corporations are chartered under the laws of the state of Delaware, corporate counsel and directors will want to closely examine the laws of relevant states when considering any particular matter. See also Ronald J. Gilson & Reinier Kraakman, *Delaware's Intermediate Standard for Defensive Tactics: Is There Substance to Proportionality Review?*, 44 BUS. LAW. 247, 248 (1989) (“Delaware corporate law . . . governs the largest proportion of the largest business transactions in history.”); Bradley R. Aronstam, *The Interplay of Blasius and Unocal—A Compelling Problem Justifying the Call for Substantial Change*, 81 OR. L. REV. 429, n.4 (2002) (discussing why corporations prefer Delaware as their choice for incorporation).

⁷⁰ *Id.*, citing *Unitrin, Inc. v. Am. Gen. Corp.*, 651 A.2d 1361, 1373 (Del. 1995) (quoting *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984)).

⁷¹ *Id.*, citing *Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985). See also *Guth v. Loft*, A.2d 503, 510 (Del. 1939) (the duty of loyalty in Delaware requires “that there shall be no conflict between duty and self-interest.”).

⁷² Sam Schechner & Robert McMillan, *Anthropic Leak Reveals Code for Claude*, WALL ST. J., Apr. 2, 2026 at A1; Kim S. Nash, *Toy Makes Hasbro Warns of Delays After Cyberattack*, WALL ST. J., Apr. 2, 2026 at B4; Christina Caron, *Customers Sue Madison Square Garden Over the Hacking of 26 Million Records*, N.Y. TIMES, June 24, 2026 at A20; Lawrence J. Trautman, *The*

For efficiency, corporate boards organize their work discharging duties and responsibilities by utilizing a system of standing committees.⁷³ Almost all publicly traded corporate boards have standing audit, compensation, executive, and governance and nominating committees.⁷⁴ For most boards, matters of risk are handled by the audit committee.⁷⁵ The literature contains robust coverage of the boards responsibility to ensure effective governance over matters involving the corporation's vulnerability to cybersecurity breaches.⁷⁶ These potential national security vulnerabilities possess considerable destructive potential.⁷⁷ Years ago, major Internet and social media

Board's Responsibility for Crisis Governance, 13 UC L. BUS. J. 275 (2017), <http://ssrn.com/abstract=2623219>.

⁷³ Lawrence J. Trautman, Seletha Butler, Frederick R. Chang, Michele Hooper, Ron McCray & Ruth Simmons, *Corporate Directors: Who They Are, What They Do, Cyber and Other Contemporary Challenges*, 70 BUFF. L. REV. 459 (2022), <http://ssrn.com/abstract=3792382>; See also Lawrence J. Trautman, *Who Sits on Texas Corporate Boards? Texas Corporate Directors: Who They Are and What They Do*, 16 HOU. BUS. & TAX L.J. 44 (2016), <http://ssrn.com/abstract=2493569>; Lawrence J. Trautman, *Present at the Creation: Reflections on the Early Years of the National Association of Corporate Directors*, 17 DUQ. BUS. L.J. 1 (2015), <http://ssrn.com/abstract=2296427>.

⁷⁴ *Id.*

⁷⁵ Hon. Bernice Donald, Brian Elzweig, Neal F. Newman, H. Justin Pace & Lawrence J. Trautman, *Crisis at the Audit Committee: Challenges of a Post-Pandemic World*, 43 REV. BANKING & FIN. L. 119 (2023-2024), <http://ssrn.com/abstract=4240080>; Lawrence J. Trautman, *Who Qualifies as an Audit Committee Financial Expert Under SEC Regulations and NYSE Rules?*, 11 DEPAUL BUS. & COMM. L.J. 205 (2013), <http://www.ssrn.com/abstract=2137747>.

⁷⁶ Neal F. Newman, Lawrence J. Trautman & Brian Elzweig, *The SEC Proposed Cybersecurity Infrastructure Rules and New Disclosure Requirements*, 94 UMKC L. REV. 51 (2025), <https://ssrn.com/abstract=4536669>; Neal F. Newman & Lawrence J. Trautman, *Securities Law: Overview and Contemporary Issues*, 16 OH. ST. BUS. L.J. 149 (2021), <http://ssrn.com/abstract=3790804>; H. Justin Pace & Lawrence J. Trautman, *Mission Critical: Caremark, Blue Bell, and Director Responsibility for Cybersecurity Governance*, 2022 WISC. L. REV. 887 (2022), <http://ssrn.com/abstract=3938128>; David D. Schein & Lawrence J. Trautman, *The Dark Web and Employer Liability*, 18(1) COLO. TECH. L.J. 49 (2020), <http://ssrn.com/abstract=3251479>; Lawrence J. Trautman, Scott Shackelford, Brian Elzweig, and Peter C. Ormerod, *Understanding Cyber Risk: Unpacking and Responding to Cyber Threats Facing the Public and Private Sectors* 78 U. MIAMI L. REV. 840 (2024), <https://ssrn.com/abstract=4262971>; Lawrence J. Trautman & Neal F. Newman, *A Proposed SEC Cyber Data Disclosure Advisory Commission*, 50 SEC. REG. L.J. 199 (2022), <http://ssrn.com/abstract=4097138>; Lawrence J. Trautman, Mohammed T. Hussein, Emmanuel U. Opara, Mason J. Molesky & Shahedur Rahman, *Posted: No Phishing*, 8 EMORY CORP. GOV. & ACCT. REV. 39 (2021), <http://ssrn.com/abstract=3549992>; Lawrence J. Trautman & Peter C. Ormerod, *Industrial Cyber Vulnerabilities: Lessons from Stuxnet and the Internet of Things*, 72 U. MIAMI L. REV. 761 (2018), <http://ssrn.com/abstract=2982629>; Lawrence J. Trautman, Jason Triche & James C. Wetherbe, *Corporate Information Technology Governance Under Fire*, 8 J. STRAT. & INT'L STUD. 105 (2013), <http://ssrn.com/abstract=2314119>; Lawrence J. Trautman & Kara Altenbaumer-Price, *The Board's Responsibility for Information Technology Governance*, 28 J. MARSHALL J. COMP. & INFO. L., 313 (2011), <http://www.ssrn.com/abstract=1947283>.

⁷⁷ Lawrence J. Trautman, *Is Cyberattack The Next Pearl Harbor?*, 18 N.C. J. L. & TECH. 232 (2016), <http://ssrn.com/abstract=2711059>; Lawrence J. Trautman, *Managing Cyberthreat*, 33(2) SANTA CLARA HIGH TECH. L.J. 230 (2016), <http://ssrn.com/abstract=2534119>; Lawrence J. Trautman, *Congressional Cybersecurity Oversight: Who's Who & How It Works*, 5 J. L. & CYBER WARFARE 147 (2016), <http://ssrn.com/abstract=2638448>; Lawrence J. Trautman, *Cybersecurity:*

platforms such as Facebook (now Meta),⁷⁸ Google,⁷⁹ PayPal,⁸⁰ and Yahoo⁸¹ recognized the need to deal with these privacy and cybersecurity issues. Of necessity, corporate boards and their audit committees will be required to meet more often than if less frequent corporate disclosure is required.

V. CONCLUSION

On May 5, 2026, The Securities and Exchange Commission issued proposed amendments to allow companies to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q to meet their interim reporting obligations. Also proposed are changes to the financial statement requirements of Regulation S-X to facilitate semiannual reporting and to simplify rules regarding the age of financial statements. During 2026 alone, the disruptive imposition of tariffs, war in the mid-East, outbreak of Ebola in central Africa, and accelerated changes in business dynamics due to the influence of artificial intelligence (AI) and other transformative technologies argue in favor of investors' needing more information, faster, rather than less information provided slowly. Accordingly, these comments argue that rapid technological advances are causing the pace of business to move faster, not slower. As a result, I urge the Commission to maintain a disclosure regime that encourages and requires more disclosure, faster, not less transparency.

Very truly yours,

Lawrence J. Trautman

Lawrence J. Trautman

What About U.S. Policy?, 2015 U. ILL. J. L., TECH. & POL'Y 341 (2015), <http://ssrn.com/abstract=2548561>.

⁷⁸ Lawrence J. Trautman, *Governance of the Facebook Privacy Crisis*, 20(1) PITT. J. TECH. L. & POL'Y 41 (2020), <http://ssrn.com/abstract=3363002>.

⁷⁹ Lawrence J. Trautman, *How Google Perceives Customer Privacy, Cyber, E-Commerce, Political and Regulatory Compliance Risks*, 10 WM. & MARY BUS. L. REV. 1 (2018), <https://ssrn.com/abstract=3067298>.

⁸⁰ Lawrence J. Trautman, *E-Commerce, Cyber and Electronic Payment System Risks: Lessons from PayPal*, 16 U.C. DAVIS BUS. L.J. 261 (Spring 2016), <http://www.ssrn.com/abstract=2314119>.

⁸¹ Lawrence J. Trautman & Peter C. Ormerod, *Corporate Directors' and Officers' Cybersecurity Standard of Care: The Yahoo Data Breach*, 66 AM. U. L. REV. 1231 (2017), <http://ssrn.com/abstract=2883607>.